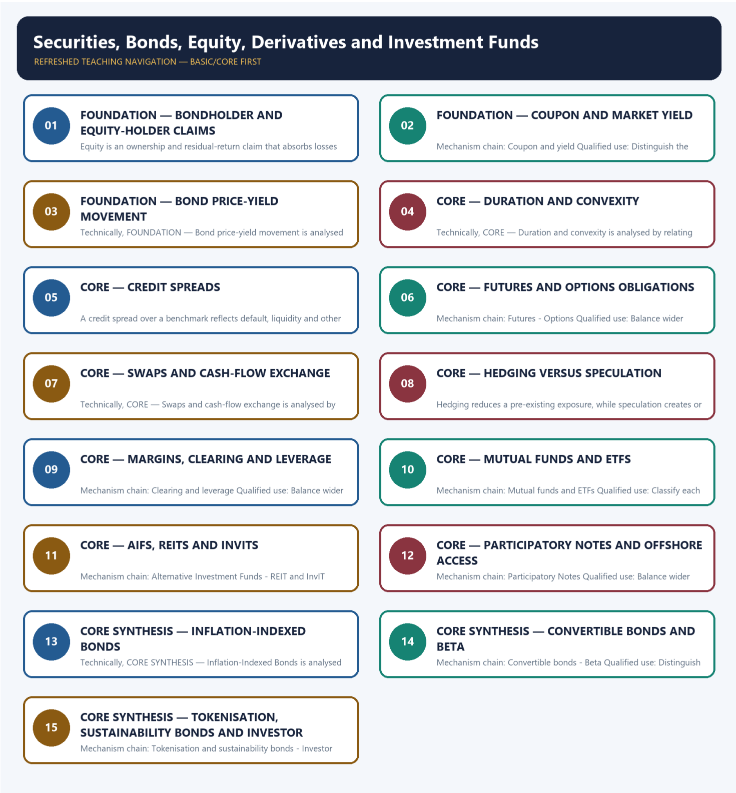
SOLVED PRACTICE WORKBOOK

# Securities, Bonds, Equity, Derivatives and Investment Funds - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing




*Original deterministic study visual; labels are explanatory, not textual quotations.*

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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# Securities, Bonds, Equity, Derivatives and Investment Funds - Solved Practice Workbook

## BASIC MCQS / REMEDIATION

### Q1. Which statement correctly identifies Bond claim?

A. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. B. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. C. For a fixed cash-flow bond, market price and comparable yield generally move inversely. D. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance.

**Answer: A. Explanation: A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q2. Which option preserves the accounting or regulatory boundary of Bond claim?

A. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. B. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. C. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. D. For a fixed cash-flow bond, market price and comparable yield generally move inversely.

**Answer: B. Explanation: A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q3. Which statement uses Bond claim without losing its vintage, basket or legal status?

A. For a fixed cash-flow bond, market price and comparable yield generally move inversely. B. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. C. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. D. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule.

**Answer: C. Explanation: A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q4. Which option avoids the standard UPSC close-option trap about Bond claim?

A. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. B. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. C. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. D. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment.

**Answer: D. Explanation: A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q5. Which statement correctly identifies Equity claim?

A. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. B. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. C. For a fixed cash-flow bond, market price and comparable yield generally move inversely. D. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule.

**Answer: A. Explanation: Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q6. Which option preserves the accounting or regulatory boundary of Equity claim?

A. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. B. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. C. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. D. For a fixed cash-flow bond, market price and comparable yield generally move inversely.

**Answer: B. Explanation: Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q7. Which statement uses Equity claim without losing its vintage, basket or legal status?

A. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. B. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. C. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. D. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone.

**Answer: C. Explanation: Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q8. Which option avoids the standard UPSC close-option trap about Equity claim?

A. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. B. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. C. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. D. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights.

**Answer: D. Explanation: Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q9. Which statement correctly identifies Coupon and yield?

A. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. B. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. C. For a fixed cash-flow bond, market price and comparable yield generally move inversely. D. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule.

**Answer: A. Explanation: Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

## Q10. Which option preserves the accounting or regulatory boundary of Coupon and yield?

A. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. B. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. C. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. D. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule.

**Answer: B. Explanation: Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

## Q11. Which statement uses Coupon and yield without losing its vintage, basket or legal status?

A. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. B. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. C. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. D. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates.

**Answer: C. Explanation: Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

## Q12. Which option avoids the standard UPSC close-option trap about Coupon and yield?

A. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. B. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. C. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. D. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance.

**Answer: D. Explanation: Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

## Q13. Which statement correctly identifies Price-yield relationship?

A. For a fixed cash-flow bond, market price and comparable yield generally move inversely. B. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. C. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. D. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule.

**Answer: A. Explanation: For a fixed cash-flow bond, market price and comparable yield generally move inversely. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

## Q14. Which option preserves the accounting or regulatory boundary of Price-yield relationship?

A. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. B. For a fixed cash-flow bond, market price and comparable yield generally move inversely. C. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. D. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates.

**Answer: B. Explanation: For a fixed cash-flow bond, market price and comparable yield generally move inversely. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q15. Which statement uses Price-yield relationship without losing its vintage, basket or legal status?

A. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. B. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. C. For a fixed cash-flow bond, market price and comparable yield generally move inversely. D. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing.

**Answer: C. Explanation: For a fixed cash-flow bond, market price and comparable yield generally move inversely. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q16. Which option avoids the standard UPSC close-option trap about Price-yield relationship?

A. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. B. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. C. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. D. For a fixed cash-flow bond, market price and comparable yield generally move inversely.

**Answer: D. Explanation: For a fixed cash-flow bond, market price and comparable yield generally move inversely. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q17. Which statement correctly identifies Duration and convexity?

A. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. B. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. C. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. D. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates.

**Answer: A. Explanation: Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q18. Which option preserves the accounting or regulatory boundary of Duration and convexity?

A. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. B. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. C. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. D. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates.

**Answer: B. Explanation: Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q19. Which statement uses Duration and convexity without losing its vintage, basket or legal status?

A. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. B. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. C. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. D. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose.

**Answer: C. Explanation: Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q20. Which option avoids the standard UPSC close-option trap about Duration and convexity?

A. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. B. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. C. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. D. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule.

**Answer: D. Explanation: Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q21. Which statement correctly identifies Credit spread?

A. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. B. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. C. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. D. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing.

**Answer: A. Explanation: A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q22. Which option preserves the accounting or regulatory boundary of Credit spread?

A. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. B. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. C. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. D. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment.

**Answer: B. Explanation: A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q23. Which statement uses Credit spread without losing its vintage, basket or legal status?

A. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. B. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. C. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. D. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose.

**Answer: C. Explanation: A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q24. Which option avoids the standard UPSC close-option trap about Credit spread?

A. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. B. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. C. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. D. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone.

**Answer: D. Explanation: A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q25. Which statement correctly identifies Futures?

A. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. B. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. C. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. D. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates.

**Answer: A. Explanation: A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q26. Which option preserves the accounting or regulatory boundary of Futures?

A. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. B. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. C. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. D. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment.

**Answer: B. Explanation: A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q27. Which statement uses Futures without losing its vintage, basket or legal status?

A. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. B. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. C. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. D. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value.

**Answer: C. Explanation: A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q28. Which option avoids the standard UPSC close-option trap about Futures?

A. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. B. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. C. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. D. A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing.

**Answer: D. Explanation: A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q29. Which statement correctly identifies Options?

A. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. B. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. C. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. D. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose.

**Answer: A. Explanation: An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q30. Which option preserves the accounting or regulatory boundary of Options?

A. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. B. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. C. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. D. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses.

**Answer: B. Explanation: An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q31. Which statement uses Options without losing its vintage, basket or legal status?

A. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. B. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. C. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. D. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value.

**Answer: C. Explanation: An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q32. Which option avoids the standard UPSC close-option trap about Options?

A. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. B. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. C. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. D. An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates.

**Answer: D. Explanation: An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q33. Which statement correctly identifies Swaps?

A. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. B. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. C. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. D. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose.

**Answer: A. Explanation: A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q34. Which option preserves the accounting or regulatory boundary of Swaps?

A. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. B. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. C. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. D. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs.

**Answer: B. Explanation: A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q35. Which statement uses Swaps without losing its vintage, basket or legal status?

A. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. B. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. C. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. D. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs.

**Answer: C. Explanation: A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q36. Which option avoids the standard UPSC close-option trap about Swaps?

A. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. B. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. C. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. D. A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment.

**Answer: D. Explanation: A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q37. Which statement correctly identifies Hedging and speculation?

A. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. B. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. C. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. D. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses.

**Answer: A. Explanation: Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q38. Which option preserves the accounting or regulatory boundary of Hedging and speculation?

A. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. B. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. C. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. D. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value.

**Answer: B. Explanation: Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q39. Which statement uses Hedging and speculation without losing its vintage, basket or legal status?

A. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. B. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. C. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. D. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs.

**Answer: C. Explanation: Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q40. Which option avoids the standard UPSC close-option trap about Hedging and speculation?

A. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. B. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. C. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. D. Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose.

**Answer: D. Explanation: Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q41. Which statement correctly identifies Clearing and leverage?

A. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. B. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. C. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. D. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs.

**Answer: A. Explanation: Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q42. Which option preserves the accounting or regulatory boundary of Clearing and leverage?

A. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. B. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. C. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. D. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs.

**Answer: B. Explanation: Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q43. Which statement uses Clearing and leverage without losing its vintage, basket or legal status?

A. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. B. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. C. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. D. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding.

**Answer: C. Explanation: Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q44. Which option avoids the standard UPSC close-option trap about Clearing and leverage?

A. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. B. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. C. Convertible bonds begin as debt and may convert into equity under specified contractual terms. D. Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses.

**Answer: D. Explanation: Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q45. Which statement correctly identifies Mutual funds and ETFs?

A. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. B. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. C. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. D. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs.

**Answer: A. Explanation: A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q46. Which option preserves the accounting or regulatory boundary of Mutual funds and ETFs?

A. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. B. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. C. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. D. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding.

**Answer: B. Explanation: A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q47. Which statement uses Mutual funds and ETFs without losing its vintage, basket or legal status?

A. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. B. Convertible bonds begin as debt and may convert into equity under specified contractual terms. C. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. D. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain.

**Answer: C. Explanation: A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q48. Which option avoids the standard UPSC close-option trap about Mutual funds and ETFs?

A. Convertible bonds begin as debt and may convert into equity under specified contractual terms. B. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. C. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. D. A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value.

**Answer: D. Explanation: A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q49. Which statement correctly identifies Alternative Investment Funds?

A. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. B. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. C. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. D. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain.

**Answer: A. Explanation: An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q50. Which option preserves the accounting or regulatory boundary of Alternative Investment Funds?

A. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. B. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. C. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. D. Convertible bonds begin as debt and may convert into equity under specified contractual terms.

**Answer: B. Explanation: An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q51. Which statement uses Alternative Investment Funds without losing its vintage, basket or legal status?

A. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. B. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. C. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. D. Convertible bonds begin as debt and may convert into equity under specified contractual terms.

**Answer: C. Explanation: An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q52. Which option avoids the standard UPSC close-option trap about Alternative Investment Funds?

A. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. B. Convertible bonds begin as debt and may convert into equity under specified contractual terms. C. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. D. An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs.

**Answer: D. Explanation: An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q53. Which statement correctly identifies REIT and InvIT?

A. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. B. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. C. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. D. Convertible bonds begin as debt and may convert into equity under specified contractual terms.

**Answer: A. Explanation: REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q54. Which option preserves the accounting or regulatory boundary of REIT and InvIT?

A. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. B. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. C. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. D. Convertible bonds begin as debt and may convert into equity under specified contractual terms.

**Answer: B. Explanation: REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q55. Which statement uses REIT and InvIT without losing its vintage, basket or legal status?

A. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. B. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. C. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. D. Convertible bonds begin as debt and may convert into equity under specified contractual terms.

**Answer: C. Explanation: REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q56. Which option avoids the standard UPSC close-option trap about REIT and InvIT?

A. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. B. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. C. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. D. REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs.

**Answer: D. Explanation: REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q57. Which statement correctly identifies Participatory Notes?

A. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. B. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. C. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. D. Convertible bonds begin as debt and may convert into equity under specified contractual terms.

**Answer: A. Explanation: Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q58. Which option preserves the accounting or regulatory boundary of Participatory Notes?

A. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. B. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. C. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. D. Convertible bonds begin as debt and may convert into equity under specified contractual terms.

**Answer: B. Explanation: Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q59. Which statement uses Participatory Notes without losing its vintage, basket or legal status?

A. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. B. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. C. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. D. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling.

**Answer: C. Explanation: Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q60. Which option avoids the standard UPSC close-option trap about Participatory Notes?

A. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. B. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. C. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. D. Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding.

**Answer: D. Explanation: Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q61. Which statement correctly identifies Inflation-Indexed Bonds?

A. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. B. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. C. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. D. Convertible bonds begin as debt and may convert into equity under specified contractual terms.

**Answer: A. Explanation: Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q62. Which option preserves the accounting or regulatory boundary of Inflation-Indexed Bonds?

A. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. B. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. C. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. D. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling.

**Answer: B. Explanation: Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q63. Which statement uses Inflation-Indexed Bonds without losing its vintage, basket or legal status?

A. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. B. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. C. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. D. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects.

**Answer: C. Explanation: Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q64. Which option avoids the standard UPSC close-option trap about Inflation-Indexed Bonds?

A. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. B. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. C. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. D. Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain.

**Answer: D. Explanation: Inflation-Indexed Bonds link specified payouts or principal to inflation to protect real purchasing power, while market-price and liquidity risks remain. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q65. Which statement correctly identifies Convertible bonds?

A. Convertible bonds begin as debt and may convert into equity under specified contractual terms. B. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. C. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. D. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling.

**Answer: A. Explanation: Convertible bonds begin as debt and may convert into equity under specified contractual terms. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q66. Which option preserves the accounting or regulatory boundary of Convertible bonds?

A. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. B. Convertible bonds begin as debt and may convert into equity under specified contractual terms. C. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. D. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling.

**Answer: B. Explanation: Convertible bonds begin as debt and may convert into equity under specified contractual terms. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q67. Which statement uses Convertible bonds without losing its vintage, basket or legal status?

A. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. B. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. C. Convertible bonds begin as debt and may convert into equity under specified contractual terms. D. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights.

**Answer: C. Explanation: Convertible bonds begin as debt and may convert into equity under specified contractual terms. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q68. Which option avoids the standard UPSC close-option trap about Convertible bonds?

A. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. B. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. C. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. D. Convertible bonds begin as debt and may convert into equity under specified contractual terms.

**Answer: D. Explanation: Convertible bonds begin as debt and may convert into equity under specified contractual terms. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q69. Which statement correctly identifies Beta?

A. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. B. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. C. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. D. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling.

**Answer: A. Explanation: Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q70. Which option preserves the accounting or regulatory boundary of Beta?

A. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. B. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. C. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. D. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights.

**Answer: B. Explanation: Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q71. Which statement uses Beta without losing its vintage, basket or legal status?

A. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. B. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. C. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. D. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance.

**Answer: C. Explanation: Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q72. Which option avoids the standard UPSC close-option trap about Beta?

A. For a fixed cash-flow bond, market price and comparable yield generally move inversely. B. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. C. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. D. Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return.

**Answer: D. Explanation: Beta measures a stock's volatility relative to the broader market and is a market-risk indicator rather than a guarantee of return. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q73. Which statement correctly identifies Tokenisation and sustainability bonds?

A. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. B. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. C. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. D. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment.

**Answer: A. Explanation: Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q74. Which option preserves the accounting or regulatory boundary of Tokenisation and sustainability bonds?

A. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. B. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. C. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. D. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment.

**Answer: B. Explanation: Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q75. Which statement uses Tokenisation and sustainability bonds without losing its vintage, basket or legal status?

A. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. B. For a fixed cash-flow bond, market price and comparable yield generally move inversely. C. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. D. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance.

**Answer: C. Explanation: Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q76. Which option avoids the standard UPSC close-option trap about Tokenisation and sustainability bonds?

A. For a fixed cash-flow bond, market price and comparable yield generally move inversely. B. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. C. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. D. Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects.

**Answer: D. Explanation: Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q77. Which statement correctly identifies Investor protection and liquidity mismatch?

A. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. B. A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. C. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. D. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance.

**Answer: A. Explanation: SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q78. Which option preserves the accounting or regulatory boundary of Investor protection and liquidity mismatch?

A. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. B. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. C. For a fixed cash-flow bond, market price and comparable yield generally move inversely. D. Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights.

**Answer: B. Explanation: SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q79. Which statement uses Investor protection and liquidity mismatch without losing its vintage, basket or legal status?

A. Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. B. For a fixed cash-flow bond, market price and comparable yield generally move inversely. C. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. D. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule.

**Answer: C. Explanation: SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

### Q80. Which option avoids the standard UPSC close-option trap about Investor protection and liquidity mismatch?

A. Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. B. A credit spread over a benchmark reflects default, liquidity and other risk-premium components rather than contractual coupon alone. C. For a fixed cash-flow bond, market price and comparable yield generally move inversely. D. SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling.

**Answer: D. Explanation: SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.**

## PYQS AND ANSWER PRACTICE

### VERIFIED OBJECTIVE-ONLY PYQ OWNERSHIP AUDIT

Audited ledgers route objective demands on Participatory Notes, Inflation-Indexed Bonds, convertible bonds, InvITs, beta, AIF classification, bondholder priority, equity derivatives and real-world-asset tokenisation here. No answer letter is inferred.

### OWNER PYQ LEDGER EXTRACTS

#### 9. PYQ application

- ANALYSIS: 2019-2026 PYQs repeatedly test statement-level distinctions: Participatory Notes versus direct holding, inflation-indexed versus plain bonds, convertible bonds, InvITs, beta, AIF classification, bondholder priority and tokenisation.
- ANALYSIS: 2025 Prelims: bondholder priority, AIF categories and the regulation of equity derivatives.
- ANALYSIS: 2026 Prelims provisional key: RWA tokenisation and sustainability-bond taxonomy.

#### 2026 PYQ Integration

> **Status:** 2026 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-PRELIMS-2026.md`. **Answer-key rule:** The 2026 Prelims and CSAT Set-A keys held locally are **provisional**; no option or answer is recorded or inferred in this integration.

- **Year represented:** 2026
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 1

| Year | Paper | Q | PYQ demand (neutral rendering) | Directive / format | Source status | Owner requirement |
|---|---|---|---|---|---|---|
| 2026 | Prelims GS-I | 90 | Real-world asset tokenization using blockchain and investment access | Objective question; provisional 2026 Set-A key present locally, answer not inferred | Provisional 2026 Set-A key present locally (`Ans-■2026-■GS1-■Provisional`); key is provisional - no answer letter recorded or inferred here | Cover the named fact/concept and its likely statement-level distinctions. |

### What this owner must now support

- Real-world asset tokenization using blockchain and investment access

> This block integrates the 2026 examinable demand and paper metadata. It is kept separate from the 2018-2023 and 2024-2025 blocks and does not convert a provisionally-keyed, answer-free objective question into a solved answer.

### Recent PYQ Integration (2024-2025)

> **Status:** 2024-2025 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-PRELIMS-2024-2025.md`. **Answer-key rule:** The official 2024-2025 Prelims Set-A keys are present in the repository and CSAT Set-A keys are supplied; even so, no option or answer is recorded or inferred in this integration.

- **Years represented:** 2025
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 3

| Year | Paper | Q | PYQ demand (neutral rendering) | Directive / format | Source status | Owner requirement |
|---|---|---|---|---|---|---|
| 2025 | Prelims GS-I | 1 | Alternative Investment Funds - which investment vehicles qualify (hedge funds, venture capital) | Objective question; official Set-A key available locally, answer not inferred | Key available locally (official Set-A answer key present); answer not recorded here | Cover the named fact/concept and its likely statement-level distinctions. |
| 2025 | Prelims GS-I | 7 | Bondholders versus stockholders - risk and repayment priority | Objective question; official Set-A key available locally, answer not inferred | Key available locally (official Set-A answer key present); answer not recorded here | Cover the named fact/concept and its likely statement-level distinctions. |
| 2025 | Prelims GS-I | 8 | India's equity options market growth and regulation | Objective question; official Set-A key available locally, answer not inferred | Key available locally (official Set-A answer key present); answer not recorded here | Cover the named fact/concept and its likely statement-level distinctions. |

### What this owner must now support

- Alternative Investment Funds - which investment vehicles qualify (hedge funds, venture capital)
- Bondholders versus stockholders - risk and repayment priority
- India's equity options market growth and regulation

> This block integrates the 2024-2025 examinable demand and paper metadata. It is kept separate from the 2018-2023 block and does not convert an unkeyed/answer-free objective question into a solved answer.

### Historical PYQ Integration (2018-2023)

> **Status:** Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-PRELIMS-2018-2023.md`. **Answer-key rule:** The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2019, 2022, 2023

- **Paper(s):** Prelims GS-I
- **Routed question demands:** 5

| Year | Paper | Q | PYQ demand (neutral rendering) | Directive / format | Source status | Owner requirement |
|---|---|---|---|---|---|---|
| 2019 | Prelims GS-I | 67 | Participatory Notes issued to overseas stock market investors | Objective question; official key unavailable locally | Routed; key unavailable locally | Cover the named fact/concept and its likely statement-level distinctions. |
| 2022 | Prelims GS-I | 5 | Inflation-Indexed Bonds features and investor benefits | Objective question; official key unavailable locally | Routed; key unavailable locally | Cover the named fact/concept and its likely statement-level distinctions. |
| 2022 | Prelims GS-I | 65 | Convertible bonds interest rate and equity conversion features | Objective question; official key unavailable locally | Routed; key unavailable locally | Cover the named fact/concept and its likely statement-level distinctions. |
| 2023 | Prelims GS-I | 21 | Infrastructure Investment Trusts InvIT tax treatment SARFAESI | Objective question; official key unavailable locally | Routed; key unavailable locally | Cover the named fact/concept and its likely statement-level distinctions. |
| 2023 | Prelims GS-I | 73 | Beta as stock market volatility measure in finance | Objective question; official key unavailable locally | Routed; key unavailable locally | Cover the named fact/concept and its likely statement-level distinctions. |

### What this owner must now support

- Participatory Notes issued to overseas stock market investors
- Inflation-Indexed Bonds features and investor benefits
- Convertible bonds interest rate and equity conversion features
- Infrastructure Investment Trusts InvIT tax treatment SARFAESI
- Beta as stock market volatility measure in finance

> The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

### 10. PYQ-based analytical application

- ANALYSIS: 2025 Prelims: bondholder priority, AIF categories and the regulation of equity

derivatives.

- ANALYSIS: 2026 Prelims provisional key: RWA tokenisation and sustainability-bond taxonomy.

## ORIGINAL MAINS 1 - 10 MARKS

**Question:** Distinguish bondholder and equity-holder claims. Answer in about 150 words.

**Model thesis: Claim:** Bond claim. **Named evidence/example:** A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Equity claim. **Named evidence/example:** Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Coupon and yield. **Named evidence/example:** Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance.

**Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Claim -> named evidence -> analysis -> qualification:**

- A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment.
- Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights.
- Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance.

**Qualified conclusion: Claim:** Bond claim. **Named evidence/example:** A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Equity claim. **Named evidence/example:** Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Coupon and yield. **Named evidence/example:** Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Demand decoding:** The directive **answer** requires a direct position on "Distinguish bondholder and equity-holder claims. Answer in about 150 words.", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

**Detailed examiner-grade model answer:**

**Introduction and thesis: Claim:** Bond claim. **Named evidence/example:** A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Equity claim. **Named evidence/example:** Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Coupon and yield. **Named evidence/example:** Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Analytical body:**

1. **Claim and named evidence:** A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal

limit, counterfactual, trade-off or residual risk.

2. **Claim and named evidence:** Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

**Counter-position / limit:** An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

**Qualified conclusion: Claim:** Bond claim. **Named evidence/example:** A bond is a creditor claim with contractual interest and principal obligations, and bondholders generally rank ahead of equity shareholders in repayment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Equity claim. **Named evidence/example:** Equity is an ownership and residual-return claim that absorbs losses after creditors and may carry voting rights. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Coupon and yield. **Named evidence/example:** Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Executable exam-length answer / compression plan:** For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

**Why this earns marks:** The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

**How to improve this answer:** For "Distinguish bondholder and equity-holder claims. Answer in about 150 words.", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

## ORIGINAL MAINS 2 - 10 MARKS

**Question:** Why do bond prices and yields generally move inversely? Answer in about 150 words.

**Model thesis: Claim:** Coupon and yield. **Named evidence/example:** Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Price-yield relationship. **Named evidence/example:** For a fixed cash-flow bond, market price and comparable yield generally move inversely. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Duration and convexity. **Named evidence/example:** Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Claim -> named evidence -> analysis -> qualification:**

- Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance.
- For a fixed cash-flow bond, market price and comparable yield generally move inversely.
- Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule.

**Qualified conclusion: Claim:** Coupon and yield. **Named evidence/example:** Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Price-yield relationship. **Named evidence/example:** For a fixed cash-flow bond, market price and comparable yield generally move inversely. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Duration and convexity. **Named evidence/example:** Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Demand decoding:** The directive **answer** requires a direct position on "Why do bond prices and yields generally move inversely? Answer in about 150 words.", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

**Detailed examiner-grade model answer:**

**Introduction and thesis: Claim:** Coupon and yield. **Named evidence/example:** Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Price-yield relationship. **Named evidence/example:** For a fixed cash-flow bond, market price and comparable yield generally move inversely. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Duration and convexity. **Named evidence/example:** Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Analytical body:**

1. **Claim and named evidence:** Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** For a fixed cash-flow bond, market price and comparable yield generally move inversely. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

**Counter-position / limit:** An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

**Qualified conclusion: Claim:** Coupon and yield. **Named evidence/example:** Coupon is the stated contractual cash-flow rate, while yield depends on market price, cash flows and maturity; they need not remain equal after issuance. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Price-yield relationship. **Named evidence/example:** For a fixed cash-flow bond, market price and comparable yield generally move inversely. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Duration and convexity. **Named evidence/example:** Duration and convexity describe bond-price sensitivity to yield changes beyond the simple inverse-direction rule. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Executable exam-length answer / compression plan:** For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

**Why this earns marks:** The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

**How to improve this answer:** For "Why do bond prices and yields generally move inversely? Answer in about 150 words.", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

## ORIGINAL MAINS 3 - 15 MARKS

**Question:** Compare futures, options and swaps as risk-transfer contracts. Answer in about 250 words.

**Model thesis: Claim:** Futures. **Named evidence/example:** A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Options. **Named evidence/example:** An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Swaps. **Named evidence/example:** A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Clearing and leverage. **Named evidence/example:** Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Claim -> named evidence -> analysis -> qualification:**

- A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing.
- An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates.
- A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment.
- Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses.

**Qualified conclusion: Claim:** Futures. **Named evidence/example:** A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Options. **Named evidence/example:** An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Swaps. **Named evidence/example:** A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Clearing and leverage. **Named evidence/example:** Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Demand decoding:** The directive **compare** requires a direct position on "Compare futures, options and swaps as risk-transfer contracts. Answer in about 250 words.", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

**Detailed examiner-grade model answer:**

**Introduction and thesis: Claim:** Futures. **Named evidence/example:** A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Options. **Named evidence/example:** An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Swaps. **Named evidence/example:** A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Clearing and leverage. **Named evidence/example:** Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Analytical body:**

1. **Claim and named evidence:** A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

**Counter-position / limit:** An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

**Qualified conclusion: Claim:** Futures. **Named evidence/example:** A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Options. **Named evidence/example:** An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Swaps. **Named evidence/example:** A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Clearing and leverage. **Named evidence/example:** Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Executable exam-length answer / compression plan:** For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

**Why this earns marks:** The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

**How to improve this answer:** For "Compare futures, options and swaps as risk-transfer contracts. Answer in about 250 words.", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

## ORIGINAL MAINS 4 - 15 MARKS

**Question:** Compare mutual funds, ETFs, AIFs, REITs and InvITs. Answer in about 250 words.

**Model thesis: Claim:** Mutual funds and ETFs. **Named evidence/example:** A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Alternative Investment Funds. **Named evidence/example:** An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** REIT and InvIT. **Named evidence/example:** REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Claim -> named evidence -> analysis -> qualification:**

- A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value.
- An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs.
- REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs.

**Qualified conclusion: Claim:** Mutual funds and ETFs. **Named evidence/example:** A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Alternative Investment Funds. **Named evidence/example:** An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** REIT and InvIT. **Named evidence/example:** REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Demand decoding:** The directive **compare** requires a direct position on "Compare mutual funds, ETFs, AIFs, REITs and InvITs. Answer in about 250 words.", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

**Detailed examiner-grade model answer:**

**Introduction and thesis: Claim:** Mutual funds and ETFs. **Named evidence/example:** A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Alternative Investment Funds. **Named evidence/example:** An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** REIT and InvIT. **Named evidence/example:** REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Analytical body:**

1. **Claim and named evidence:** A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal

limit, counterfactual, trade-off or residual risk.

2. **Claim and named evidence:** An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

**Counter-position / limit:** An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

**Qualified conclusion: Claim:** Mutual funds and ETFs. **Named evidence/example:** A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Alternative Investment Funds. **Named evidence/example:** An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** REIT and InvIT. **Named evidence/example:** REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Executable exam-length answer / compression plan:** For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

**Why this earns marks:** The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

**How to improve this answer:** For "Compare mutual funds, ETFs, AIFs, REITs and InvITs. Answer in about 250 words.", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

## ORIGINAL MAINS 5 - 20 MARKS

**Question:** Evaluate the hedging benefit and leverage risk of derivatives. Answer in about 300 words.

**Model thesis: Claim:** Futures. **Named evidence/example:** A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Options. **Named evidence/example:** An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Swaps. **Named evidence/example:** A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Hedging and speculation. **Named evidence/example:** Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Clearing and leverage. **Named evidence/example:** Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Investor protection and liquidity mismatch. **Named evidence/example:** SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Claim -> named evidence -> analysis -> qualification:**

- A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing.
- An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates.
- A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment.
- Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose.
- Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses.
- SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling.

**Qualified conclusion: Claim:** Futures. **Named evidence/example:** A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Options. **Named evidence/example:** An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Swaps. **Named evidence/example:** A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Hedging and speculation. **Named evidence/example:** Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Clearing and leverage. **Named evidence/example:** Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Investor protection and liquidity mismatch. **Named evidence/example:** SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Demand decoding:** The directive **evaluate** requires a direct position on "Evaluate the hedging benefit and leverage risk of derivatives. Answer in about 300 words.", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

**Detailed examiner-grade model answer:**

**Introduction and thesis: Claim:** Futures. **Named evidence/example:** A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Options. **Named evidence/example:** An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Swaps. **Named evidence/example:** A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Hedging and speculation. **Named evidence/example:** Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Clearing and leverage. **Named evidence/example:** Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

**Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Investor protection and liquidity mismatch. **Named evidence/example:** SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Analytical body:**

1. **Claim and named evidence:** A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
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4. **Claim and named evidence:** Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
6. **Claim and named evidence:** SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

**Counter-position / limit:** An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

**Qualified conclusion: Claim:** Futures. **Named evidence/example:** A standardised futures contract creates symmetric obligations for buyer and seller and is supported by margining and clearing. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Options. **Named evidence/example:** An option gives the buyer a right but not an obligation, while the writer bears a contingent obligation; value depends on the underlying, strike, time, volatility and rates. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Swaps. **Named evidence/example:** A swap exchanges cash-flow streams linked to interest rates, currencies or other variables and may be centrally or bilaterally risk-managed according to the market segment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Hedging and speculation. **Named evidence/example:** Hedging reduces a pre-existing exposure, while speculation creates or enlarges exposure for expected profit; the same derivative form can serve either purpose. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Clearing and leverage. **Named evidence/example:** Margins, clearing corporations and default waterfalls reduce settlement and counterparty risk but do not remove leverage, basis risk or mark-to-market losses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Investor protection and liquidity mismatch. **Named evidence/example:** SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Executable exam-length answer / compression plan:** For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

**Why this earns marks:** The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

**How to improve this answer:** For "Evaluate the hedging benefit and leverage risk of derivatives. Answer in about 300 words.", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

## ORIGINAL MAINS 6 - 20 MARKS

**Question:** How should India widen household market participation without encouraging unsuitable risk? Answer in about 300 words.

**Model thesis: Claim:** Mutual funds and ETFs. **Named evidence/example:** A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Alternative Investment Funds. **Named evidence/example:** An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** REIT and InvIT. **Named evidence/example:** REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Participatory Notes. **Named evidence/example:** Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Tokenisation and sustainability bonds. **Named evidence/example:** Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Investor protection and liquidity mismatch. **Named evidence/example:** SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Claim -> named evidence -> analysis -> qualification:**

- A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value.
- An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs.
- REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs.
- Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding.
- Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects.
- SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling.

**Qualified conclusion: Claim:** Mutual funds and ETFs. **Named evidence/example:** A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Alternative Investment Funds. **Named evidence/example:** An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** REIT and InvIT. **Named evidence/example:** REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Participatory Notes. **Named evidence/example:** Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Tokenisation and sustainability bonds. **Named evidence/example:** Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Investor protection and liquidity mismatch. **Named evidence/example:** SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Demand decoding:** The directive **answer** requires a direct position on "How should India widen household market participation without encouraging unsuitable risk?...", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

**Detailed examiner-grade model answer:**

**Introduction and thesis: Claim:** Mutual funds and ETFs. **Named evidence/example:** A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Alternative Investment Funds. **Named evidence/example:** An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** REIT and InvIT. **Named evidence/example:** REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Participatory Notes. **Named evidence/example:** Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Tokenisation and sustainability bonds. **Named evidence/example:** Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Investor protection and liquidity mismatch. **Named evidence/example:** SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Analytical body:**

1. **Claim and named evidence:** A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
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**Counter-position / limit:** An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

**Qualified conclusion: Claim:** Mutual funds and ETFs. **Named evidence/example:** A mutual fund is a SEBI-regulated pooled vehicle, while an ETF unit trades intraday on an exchange and may deviate from its net asset value. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Alternative Investment Funds. **Named evidence/example:** An AIF is a privately pooled vehicle under SEBI's category framework; venture-capital and hedge funds can fall within AIF categories, whereas direct stocks and bonds are not AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** REIT and InvIT. **Named evidence/example:** REITs and InvITs are SEBI-regulated pooled vehicles linked respectively to real-estate and infrastructure cash flows and are distinct from ordinary mutual funds and AIFs. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Participatory Notes. **Named evidence/example:** Participatory Notes are offshore instruments issued by registered foreign portfolio investors to overseas investors and are not the same as direct domestic shareholding. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Tokenisation and sustainability bonds. **Named evidence/example:** Real-world-asset tokenisation changes access and transfer mechanics but not the underlying legal and economic risk, while a sustainability bond finances eligible environmental and social projects rather than only green projects. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Investor protection and liquidity mismatch. **Named evidence/example:** SEBI's disclosure, adviser, margin, settlement and grievance architecture reduces conduct risk, but open-ended or pooled structures can still face liquidity mismatch, valuation opacity and mis-selling. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

**Executable exam-length answer / compression plan:** For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

**Why this earns marks:** The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

**How to improve this answer:** For "How should India widen household market participation without encouraging unsuitable risk?...", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.